U.S. Semiconductors & Semi Cap Equipment

Jump Start on the Week Ahead: Keep Buying 1st and 2nd Wave AI, ADI Numbers Likely OK (NVDA, MRVL, and ADI)

CORE

Heading into another week of earnings we look ahead for setups for NVDA, MRVL and ADI.

NVDA – Another Substantial Beat Likely Sold at Earnings, But Stock Grinds Higher Over Time

We expect another beat and raise driven by DC GPU sales, and see the coming B100 cycle as another catalyst for growth, leading us to raise numbers (discussed further below). Data points throughout the quarter that make us more positive include: record hyperscale capex (GOOG FY24 St. capex up >$2B post-earnings, MSFT FY24 St. capex up ~$0.79B post-earnings, and AMZN FY24 St. capex up ~$0.175B post-earnings), AMD revision higher for the year (MI300 CY24 revenue to >$3.5B vs. >$2B prior), and other ecosystem peers guiding to a stronger 2H (COHR, MTSI, SMCI).

We see DC well ahead in January and raise our numbers materially. We now believe the segment ultimately comes in at ~$18B (with ~$3B coming from MLNX) vs. St. of $16.8B. For April, we see DC revenue again well ahead at over $20B (vs. St. $18.2B), on a pace that should push towards ~$25B by early FY26. This drives another substantial beat in the quarter and raises the full year. We see our new revenue/EPS for FY25 ($102.6B/$23.34) for NVDA well ahead of the Street ($95.3B/$21.14). We fully understand next year's smaller seq. growth in DC (we go from ~25% seq. in this Jan to 2% seq. in Jan of FY26) could beg the question of "what happens if revenue growth declines Q/Q". That clearly is a bad day for the stock, but we think this initial build lasts longer and we remain committed in our view that AI silicon is the most important ST and LT secular growth driver in Semis. The DC GPU number will be the only key metric that matters along with commentary on broader market adoption. The stock has not worked on prior beats and we would expect the same sell the news reaction on this print.

Key Debates: Most conversations we have center on the sustainability of the current run-rate in DC, which is approaching $100B per year. Competition from AMD, as customer interest around both a second GPU source and custom silicon continues to accelerate. The introduction of H200 and the B100 cycle, which is expected to launch next quarter.

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Update PT: We raise our PT to $850 and think that despite the soft negative reaction at earnings that the stock will continue to grind higher through the quarter. We see a potential catalyst at the INTC IFS day next week where we expect presenters to highlight a broader scope of AI.

FIGURE 1. NVDA Barclays vs. Consensus

Changes to Revenue and EPS Estimates - New vs. Old vs. Consensus

		Jan Q	Apr Q	FY25	FY26
NEW	Revenues	$21,292M	$23,619M	$102,596M	$119,034M
	EPS	$4.82	$5.41	$23.34	$26.55
OLD	Revenues	$20,094M	$21,828M	$94,874M	$111,841M
	EPS	$4.49	$4.92	$21.24	$24.61
CONSENSUS	Revenues	$20,266M	$21,610M	$94,819M	$112,411M
	EPS	$4.56	$4.85	$21.47	$25.19

Source: Barclays Research Estimates and Bloomberg Consensus

MRVL - Buy Potential Optical Weakness in April Guide

We see potential for a seq. decline in Optical for April, which the company has already cautioned at last earnings but sounded more positive on coming out of CES. We think this is largely a function of product transitions at both NVDA and GOOG. We still see a material acceleration in the 2H of the year, coupled with the custom ASIC ramp (we model $300M this year and ~$500M next year). We think that Optical revenue is the key driver of the stock here and a seq. decline would lead to some stock weakness. We also think the Street remains a bit too high on Carrier, Enterprise, and Consumer in aggregate. We would be buyers of any weakness in the print as a pause is not indicative of any share loss and the market is still growing robustly.

We see modest upside to DC in January for MRVL, as we forecast $750M in DC revenue vs. St. $743M, and see all other segments more or less in-line with St. In aggregate for the Jan quarter, we forecast $1.421B in revenue vs. St. of $1.419B, and EPS of $0.46, in-line with Street.

In April, we see the beginnings of NVDA moving to 100G/lane Optical and GOOG potentially beginning a transition to two new platforms (see here: Numbers a Little LITE). As a function of the transitions, we likely saw some pull forward of ordering in Q3/Q4, which MRVL has called out. In isolation, we also saw a few negative data points through earnings with FN guiding a bit below expectations (they will continue to accelerate in 2H), MTSI guiding March -15% Q/Q (pointing to 2H stronger ramp), COHR stronger in 2H, and LITE highlighting the transition at GOOG. Elsewhere, we see Street too high in the other segments with Carrier Infrastructure where we model $164M vs. St. $167M, Enterprise with our $234M vs. St. $247M, Consumer with our $92M vs. St. $112M, and Auto/Industrial roughly in-line with St. at ~$90M. For the FY25, we forecast DC of $3.6B vs. St. $3.4B, Carrier $690M vs. St. $739M, Enterprise $965M vs. St. $1.07B, Consumer $431M vs. St. $502M, and Auto/Industrial $391M vs. St. $412M. Taken together, we forecast total revenue/EPS of $6.1B/$1.99 vs. St. $6.0B/$2.02.

Key Debates: Have the non-DC businesses bottomed and how quickly they will recover in the 2H. What is the size of the Custom ASIC business in both CY24/CY25. Will MRVL be a beneficiary of potential share shift with the TPU.

FIGURE 2. MRVL Barclays vs. Consensus

Changes to Revenue and EPS Estimates - New vs. Old vs. Consensus

		Jan Q	Apr Q	CY23	CY24	CY25
NEW	Revenues	$1,421M	$1,364M	$5,502M	$6,086M	$7,358M
	EPS	$0.46	$0.38	$1.51	$1.99	$2.79
OLD	Revenues	$1,421M	$1,410M	$5,502M	$6,219M	$7,464M
	EPS	$0.46	$0.42	$1.51	$2.08	$2.86
CONSENSUS	Revenues	$1,419M	$1,368M	$5,501M	$6,043M	$7,216M
	EPS	$0.46	$0.41	$1.51	$2.02	$2.74

Source: Barclays Research Estimates and Bloomberg

ADI - Auto in Check Likely Helps Stock Work

The stock has underperformed the SOX by ~8% since TXN reported on 1/23/24 (in-line with TXN underperformance), which is reflective of continued concerns for Auto and Industrial. Since then, NXPI has outperformed by ~4% and ALGM has outperformed by ~8% relative to the SOX. ALGM guided the bottom in Auto down mid-teens Y/Y, NXP implied guide down MSD Y/Y, and TXN we model down HSD Y/Y in March. In our eyes, both ALGM and NXP underperformed because of fears of a worse correction. ADI seems to be lumped into the same bucket as TXN, which we think is a bit unfair as the company sounded much more positive at CES. We think that ADI goes back to 23x Fwd. PE on only slightly better numbers.

We model January quarter revenue of $2.52B (-7% Q/Q, vs. St. $2.50B) and April quarter revenue of $2.39B (-5% Q/Q, vs. St. $2.36B). We model January quarter Auto revenue of $724M (-1% Q/Q, +5% Y/Y, vs. St. $708M) and April quarter Auto revenue of $688M (-5% Q/Q, -9% Y/Y, vs. St. $686M). We view Auto numbers as the key data point on how the stock trades, with incremental risk to the stock if Industrial were to come in below Street expectations.

Key Debates: Investors don't want to own analog as they fear another material Auto cut. If ADI cuts, do the other names continue to work? If Industrial misses and Auto beats can the name still work?

FIGURE 3. ADI Barclays vs. Consensus

Revenue and EPS Estimates - Barclays vs. Consensus

		Jan Q	Apr Q	CY23	CY24	CY25
BARCLAYS	Revenues	$2,523M	$2,387M	$11,579M	$10,130M	$11,521M
	EPS	$1.72	$1.57	$9.05	$7.04	$8.84
OLD	Revenues	$2,523M	$2,387M	$11,579M	$10,130M	$11,521M
	EPS	$1.72	$1.57	$9.05	$7.04	$8.84
CONSENSUS	Revenues	$2,500M	$2,363M	$11,556M	$10,088M	$11,563M
	EPS	$1.71	$1.58	$9.04	$7.21	$9.19

Source: Barclays Research Estimates and Bloomberg

Summary of our Ratings, Price Targets and Earnings Changes in this Report (all changes are shown in bold)

	Rating		Price	Price Target			EPS FY1 (E)			EPS FY2 (E)		
Company	**Old**	**New**	**15-Feb-24**	**Old**	**New**	**%Chg**	**Old**	**New**	**%Chg**	**Old**	**New**	**%Chg**
U.S. Semiconductors & Semiconductor Capital Equipment	Neu	Neu										
Marvell Technology Group, Ltd. (MRVL)	OW	OW	67.44	75.00	75.00	-	1.51	1.51	-	2.08	**1.99**	-4
NVIDIA Corp. (NVDA)	OW	OW	726.58	650.00	**850.00**	31	12.30	**12.62**	3	21.24	**23.34**	10

Source: Barclays Research. Share prices and target prices are shown in the primary listing currency and EPS estimates are shown in the reporting currency. FY1(E): Current fiscal year estimates by Barclays Research. FY2(E): Next fiscal year estimates by Barclays Research. Stock Rating: OW: Overweight; EW: Equal Weight; UW: Underweight; RS: Rating Suspended Industry View: Pos: Positive; Neu: Neutral; Neg: Negative

Valuation Methodology and Risks

U.S. Semiconductors & Semiconductor Capital Equipment

Marvell Technology Group, Ltd. (MRVL / MRVL)

Valuation Methodology: Our price target of $75 is based upon 27x our CY25 EPS of $2.79.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our thesis include a slower ramp/lower than expected share in Data Center AI networking, slower wins in the AI ASIC business, slower recovery in the core business and a lack of margin expansion.

NVIDIA Corp. (NVDA / NVDA)

Valuation Methodology: Our price target of $850 is based upon 32x our CY25E non-GAAP EPS of $26.55.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the downside include a slower ramp in GPUs for AI in the DC, slower recovery in the gaming market, a slower Auto ramp and slower GM improvement.

Source: Barclays Research

Changes to Estimates

NVDA

Our FY25 revenue/EPS move to $102,596M/$23.34 (prior $94,874M/$21.24), and FY26 moves to $119,034M/$26.55 (prior $111,841M/$24.61).

Our price target of $850 is based upon 32x our CY25E non-GAAP EPS of $26.55. Our prior price target of $650 was based upon 26x our CY25E non-GAAP EPS of $24.61.

MRVL

Our CY23 revenue/EPS remain $5,502M/$1.51, CY24 moves to $6086M/$1.99 (prior $6219M/$2.08), and CY25 moves to $7,358M/$2.79 (prior $7464M/$2.86).

Our price target of $75 is based upon 27x our CY25 EPS of $2.79. Our prior methodology was based upon 26x our CY25 EPS of $2.86.

ADI

Our CY23 revenue/EPS remains $11.58B/$9.05, CY24 remains $10.13B/$7.04, and CY25 remains $11.52B/$8.84.

Our price target remains $185 based on 21x our CY25E EPS of $8.84.

FIGURE 4. NVDA Income Statement

NVIDIA FY Ending: January $ in millions	Apr-21 1Q	Jul-21 2Q	Oct-21 3Q	Jan-22 4Q	Apr-22 1Q	Jul-22 2Q	Oct-22 3Q	Jan-23 4Q	Apr-23 1Q	Jul-23 2Q	Oct-23 3Q	Jan-24 4QE	Apr-24 1QE	Jul-24 2QE	Oct-24 3QE	Jan-25 4QE	Apr-25 1QE	Jul-25 2QE	Oct-25 3QE	Jan-26 4QE	2022 FY	2023 FY	2024 FYE	2025 FYE	2026 FYE
Revenues	$5,661	$6,507	$7,103	$7,643	$8,288	$6,704	$5,931	$6,051	$7,192	$13,507	$18,120	$21,292	$23,619	$24,970	$26,325	$27,681	$28,730	$29,441	$30,119	$30,745	$26,914	$26,974	$60,111	$102,596	$119,034
QoQ	13.2%	14.9%	9.2%	7.6%	8.4%	(19.1%)	(11.5%)	2.0%	18.9%	87.8%	34.2%	17.5%	10.9%	5.7%	5.4%	5.2%	3.8%	2.5%	2.3%	2.1%					
YoY	83.8%	68.3%	50.3%	52.8%	46.4%	3.0%	(16.5%)	(20.8%)	(13.2%)	101.5%	205.5%	251.9%	228.4%	84.9%	45.3%	30.0%	21.6%	17.9%	14.4%	11.1%	61.4%	0.2%	122.8%	70.7%	16.0%
Cost of Goods	1,915	2,170	2,342	2,519	2,725	3,630	2,602	2,052	2,390	3,893	4,537	5,153	5,578	5,920	6,234	6,551	6,912	7,051	7,350	7,486	8,946	11,009	15,973	24,283	28,799
Gross Profit	$3,746	$4,337	$4,761	$5,124	$5,563	$3,074	$3,329	$3,999	$4,802	$9,614	$13,583	$16,139	$18,042	$19,050	$20,091	$21,130	$21,818	$22,390	$22,769	$23,259	$17,968	$15,965	$44,138	$78,313	$90,235
R&D	876	947	1,033	1,095	1,225	1,362	1,405	1,414	1,339	1,428	1,581	1,730	1,905	2,080	2,280	2,480	2,630	2,755	2,905	3,055	3,951	5,406	6,078	8,745	11,345
SG&A	313	319	342	352	383	387	388	361	411	410	445	470	495	520	545	570	585	600	615	630	1,326	1,519	1,736	2,130	2,430
Total Operating Expenses	1,189	1,266	1,375	1,447	1,608	1,749	1,793	1,775	1,750	1,838	2,026	2,200	2,400	2,600	2,825	3,050	3,215	3,355	3,520	3,685	5,277	6,925	7,814	10,875	13,775
Operating Income	$2,557	$3,071	$3,386	$3,677	$3,955	$1,325	$1,536	$2,224	$3,052	$7,776	$11,557	$13,939	$15,642	$16,450	$17,266	$18,080	$18,603	$19,035	$19,249	$19,574	$12,691	$9,040	$36,324	$67,438	$76,460
Interest Income (Exp)	(45)	(49)	(52)	(52)	(45)	(16)	24	43	84	120	175	200	225	250	275	300	325	350	375	400	(198)	6	579	1,050	1,450
Profit Before Taxes	2,512	3,022	3,334	3,625	3,910	1,309	1,560	2,267	3,136	7,896	11,732	14,139	15,867	16,700	17,541	18,380	18,928	19,385	19,624	19,974	12,493	9,046	36,903	68,488	77,910
Taxes	199	399	361	275	467	17	104	93	423	1,156	1,712	2,121	2,380	2,505	2,631	2,757	2,839	2,908	2,944	2,996	1,234	681	5,412	10,273	11,687
Net Income - Pro Forma	$2,313	$2,623	$2,973	$3,350	$3,443	$1,292	$1,456	$2,174	$2,713	$6,740	$10,020	$12,018	$13,487	$14,195	$14,910	$15,623	$16,089	$16,477	$16,680	$16,978	$11,259	$8,365	$31,491	$58,214	$66,224
EPS - Pro Forma (ex ESO)	$0.91	$1.04	$1.17	$1.32	$1.36	$0.51	$0.58	$0.88	$1.09	$2.70	$4.02	$4.82	$5.41	$5.69	$5.98	$6.26	$6.45	$6.61	$6.69	$6.81	$4.44	$3.33	$12.62	$23.34	$26.55
EPS - Pro Forma (incl ESO)	$0.76	$0.88	$0.97	$1.12	$1.16	$0.26	$0.30	$0.59	$0.83	$2.41	$3.68	$4.48	$5.06	$5.34	$5.62	$5.90	$6.08	$6.24	$6.31	$6.43	$3.73	$2.31	$11.40	$21.93	$25.06
EPS - GAAP	$0.76	$0.94	$0.97	$1.18	$0.64	$0.26	$0.27	$0.57	$0.82	$2.48	$3.71	$4.47	$5.05	$5.33	$5.61	$5.89	$6.08	$6.23	$6.30	$6.42	$3.85	$1.74	$11.47	$21.88	$25.03
Fully Diluted Shares	2,528	2,532	2,538	2,545	2,537	2,516	2,499	2,477	2,490	2,499	2,494	2,494	2,494	2,494	2,494	2,494	2,494	2,494	2,494	2,494	2,536	2,507	2,494	2,494	2,494
Dividend per Share	$0.01	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.04	$0.13	$0.16	$0.16	$0.16	$0.16
Percent of Sales																									
Gross Margin	66.2%	66.7%	67.0%	67.0%	67.1%	45.9%	56.1%	66.1%	66.8%	71.2%	75.0%	75.8%	76.4%	76.3%	76.3%	76.3%	75.9%	76.1%	75.6%	75.7%	66.8%	59.2%	73.4%	76.3%	75.8%
R&D	15.5%	14.6%	14.5%	14.3%	14.8%	20.3%	23.7%	23.4%	18.6%	10.6%	8.7%	8.1%	8.1%	8.3%	8.7%	9.0%	9.2%	9.4%	9.6%	9.9%	14.7%	20.0%	10.1%	8.5%	9.5%
SG&A	5.5%	4.9%	4.8%	4.6%	4.6%	5.8%	6.5%	6.0%	5.7%	3.0%	2.5%	2.2%	2.1%	2.1%	2.1%	2.1%	2.0%	2.0%	2.0%	2.0%	4.9%	5.6%	2.9%	2.1%	2.0%
Operating Margin	45.2%	47.2%	47.7%	48.1%	47.7%	19.8%	25.9%	36.8%	42.4%	57.6%	63.8%	65.5%	66.2%	65.9%	65.6%	65.3%	64.8%	64.7%	63.9%	63.7%	47.2%	33.5%	60.4%	65.7%	64.2%
Taxes	7.9%	13.2%	10.8%	7.6%	11.9%	1.3%	6.7%	4.1%	13.5%	14.6%	14.6%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	9.9%	7.5%	14.7%	15.0%	15.0%
Net Income	40.9%	40.3%	41.9%	43.8%	41.5%	19.3%	24.5%	35.9%	37.7%	49.9%	55.3%	56.4%	57.1%	56.8%	56.6%	56.4%	56.0%	56.0%	55.4%	55.2%	41.8%	31.0%	52.4%	56.7%	55.6%
Sequential Change																									
R&D	(0.6%)	8.1%	9.1%	6.0%	11.9%	11.2%	3.2%	0.6%	(5.3%)	6.6%	10.7%	9.4%	10.1%	9.2%	9.6%	8.8%	6.0%	4.8%	5.4%	5.2%	28.9%	36.8%	12.4%	43.9%	29.7%
SG&A	2.3%	1.9%	7.2%	2.9%	8.8%	1.0%	0.3%	(7.0%)	13.9%	(0.2%)	8.5%	5.6%	5.3%	5.1%	4.8%	4.6%	2.6%	2.6%	2.5%	2.4%	22.9%	14.6%	14.3%	22.7%	14.1%

Source: Company Reports, Barclays Research Estimates

Reconciliation of Pro Forma to GAAP	Apr-21	Jul-21	Oct-21	Jan-22	Apr-22	Jul-22	Oct-22	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	2022	2023	2024	2025	2026
SBC	(429)	(465)	(559)	(551)	(578)	(649)	(745)	(739)	(735)	(842)	(979)	(1,000)	(1,015)	(1,030)	(1,045)	(1,060)	(1,075)	(1,090)	(1,105)	(1,120)	(2,004)	(2,711)	(3,556)	(4,150)	(4,390)
Amortization & Other Acquisition Costs	(167)	(158)	(156)	(156)	(1,509)	(175)	(174)	(174)	(173)	(137)	(135)	(165)	(175)	(175)	(175)	(175)	(170)	(170)	(170)	(170)	(637)	(2,032)	(610)	(700)	(680)
COGS Other	(5)	(4)	0	0	0	0	0	(16)	(8)	(2)	(26)	(2)	(2)	(2)	(2)	(2)	(2)	(2)	(2)	(2)	(9)	(16)	(38)	(8)	(8)
Opex Other	0	0	0	0	0	(2)	(16)	(38)	4	5	0	0	0	0	0	0	0	0	0	0	0	(56)	9	0	0
Interest Other	133	(1)	19	(53)	(18)	(8)	(12)	(11)	(15)	61	(70)	0	0	0	0	0	0	0	0	0	98	(49)	(24)	0	0
Tax Effect	67	379	187	413	280	198	171	218	257	363	433	292	298	302	306	309	312	316	319	323	1,046	867	1,345	1,215	1,270
Net Income - GAAP	1,912	2,374	2,464	3,003	1,618	656	680	1,414	2,043	6,188	9,243	11,142	12,593	13,289	13,994	14,695	15,154	15,531	15,722	16,009	9,753	4,368	28,616	54,571	62,415
GAAP Shares	2,528	2,532	2,536	2,545	2,537	2,516	2,499	2,477	2,490	2,499	2,494	2,494	2,494	2,494	2,494	2,494	2,494	2,494	2,494	2,494	2,535	2,507	2,494	2,494	2,494
EPS - GAAP	$0.76	$0.94	$0.97	$1.18	$0.64	$0.26	$0.27	$0.57	$0.82	$2.48	$3.71	$4.47	$5.05	$5.33	$5.61	$5.89	$6.08	$6.23	$6.30	$6.42	$3.85	$1.74	$11.47	$21.88	$25.03

Employee Stock Options	Apr-21	Jul-21	Oct-21	Jan-22	Apr-22	Jul-22	Oct-22	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	2022	2023	2024	2025	2026
SBC	(429)	(465)	(559)	(551)	(578)	(649)	(745)	(739)	(735)	(842)	(979)	(1,000)	(1,015)	(1,030)	(1,045)	(1,060)	(1,075)	(1,090)	(1,105)	(1,120)	(2,004)	(2,711)	(3,556)	(4,150)	(4,390)
Tax Effect	34	61	61	42	69	8	50	30	99	123	143	150	152	155	157	159	161	164	166	168	198	157	515	623	659
Overall Cost of ESO	(395)	(404)	(498)	(509)	(509)	(641)	(695)	(709)	(636)	(719)	(836)	(850)	(863)	(876)	(888)	(901)	(914)	(927)	(939)	(952)	(1,806)	(2,554)	(3,041)	(3,528)	(3,732)
on EPS Basis	($0.16)	($0.16)	($0.20)	($0.20)	($0.20)	($0.25)	($0.28)	($0.29)	($0.26)	($0.29)	($0.34)	($0.34)	($0.35)	($0.35)	($0.36)	($0.36)	($0.37)	($0.37)	($0.38)	($0.38)	($0.71)	($1.02)	($1.22)	($1.41)	($1.50)

Source: Company Reports and Barclays Research estimates

FIGURE 5. MRVL Income Statement

Marvell Technology Group Ltd.																				
Period Ending	Apr-22	Jul-22	Oct-22	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	2022	2023	2024	2025
$ in millions	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	CY	CYE	CYE	CYE
Revenues	**$1,446.9**	**$1,516.9**	**$1,537.3**	**$1,418.5**	**$1,321.7**	**$1,340.9**	**$1,418.6**	**$1,420.7**	**$1,364.0**	**$1,450.5**	**$1,576.2**	**$1,695.3**	**$1,691.1**	**$1,795.2**	**$1,899.6**	**$1,972.5**	**$5,919.6**	**$5,501.9**	**$6,085.9**	**$7,358.4**
QoQ	7.7%	4.8%	1.3%	(7.7%)	(6.8%)	1.5%	5.8%	0.1%	(4.0%)	6.3%	8.7%	7.6%	(0.2%)	6.2%	5.8%	3.8%				
YoY	73.8%	41.0%	26.9%	5.6%	(8.7%)	(11.6%)	(7.7%)	0.2%	3.2%	8.2%	11.1%	19.3%	24.0%	23.8%	20.5%	16.4%	32.7%	(7.1%)	10.6%	20.9%
Cost of Goods	499.9	531.4	553.0	517.9	529.2	532.8	559.4	511.4	491.0	522.2	564.3	601.8	591.9	628.3	664.9	690.4	2,102.2	2,132.8	2,179.3	2,575.5
Gross Profit	**$947.0**	**$985.5**	**$984.3**	**$900.6**	**$792.5**	**$808.1**	**$859.2**	**$909.2**	**$872.9**	**$928.3**	**$1,011.9**	**$1,093.4**	**$1,099.2**	**$1,166.9**	**$1,234.8**	**$1,282.1**	**$3,817.4**	**$3,369.0**	**$3,906.6**	**$4,783.0**
R&D	357.6	351.6	341.2	351.2	380.6	370.3	365.7	355.0	383.4	386.4	384.4	385.4	400.8	405.8	410.8	415.8	1,401.6	1,471.6	1,539.6	1,633.3
SG&A	77.7	80.0	79.2	79.5	78.0	77.7	71.4	75.0	79.4	76.4	74.4	74.4	77.4	82.4	87.4	92.4	316.4	302.1	304.7	339.6
Total Operating Expenses	435.3	431.6	420.4	430.7	458.6	448.0	437.1	430.0	462.8	462.8	458.8	459.8	478.2	488.2	498.2	508.2	1,718.0	1,773.7	1,844.3	1,972.9
Operating Income	**$511.7**	**$553.9**	**$563.9**	**$469.9**	**$333.9**	**$360.1**	**$422.1**	**$479.2**	**$410.1**	**$465.5**	**$553.1**	**$633.6**	**$621.0**	**$678.7**	**$736.5**	**$773.9**	**$2,099.4**	**$1,595.3**	**$2,062.3**	**$2,810.1**
Interest Income (Exp)	(34.7)	(36.9)	(41.0)	(48.3)	(49.8)	(54.4)	(45.4)	(50.0)	(48.9)	(47.8)	(46.7)	(45.6)	(44.5)	(43.4)	(42.3)	(41.2)	(160.9)	(199.6)	(189.0)	(171.4)
Profit Before Taxes	477.0	517.0	522.9	421.6	284.1	305.7	376.7	429.2	361.2	417.7	506.4	588.0	576.5	635.3	694.2	732.7	1,938.5	1,395.7	1,873.3	2,638.7
Taxes	28.6	31.0	31.4	25.3	19.9	15.5	22.6	25.8	25.3	29.2	35.4	41.2	40.4	44.5	48.6	51.3	116.3	83.8	131.1	184.7
Net Income - Pro Forma	**$448.4**	**$486.0**	**$491.5**	**$396.3**	**$264.2**	**$290.2**	**$354.1**	**$403.5**	**$335.9**	**$388.5**	**$470.9**	**$546.9**	**$536.1**	**$590.8**	**$645.6**	**$681.4**	**$1,822.2**	**$1,312.0**	**$1,742.2**	**$2,454.0**
EPS - Pro Forma (ex ESO)	**$0.52**	**$0.57**	**$0.57**	**$0.46**	**$0.31**	**$0.33**	**$0.41**	**$0.46**	**$0.38**	**$0.44**	**$0.54**	**$0.62**	**$0.61**	**$0.67**	**$0.73**	**$0.77**	**$2.12**	**$1.51**	**$1.99**	**$2.79**
EPS - Pro Forma (incl ESO)	$0.37	$0.40	$0.40	$0.31	$0.14	$0.16	$0.22	$0.27	$0.19	$0.25	$0.35	$0.43	$0.42	$0.48	$0.54	$0.58	$1.48	$0.79	$1.22	$2.02
EPS - GAAP	($0.20)	$0.01	$0.02	($0.02)	($0.20)	($0.24)	($0.19)	($0.05)	($0.11)	($0.05)	$0.05	$0.15	$0.14	$0.21	$0.27	$0.32	($0.19)	($0.67)	$0.04	$0.94
Dividends per Share	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.06	$0.24	$0.24	$0.24	$0.24
Fully Diluted Shares	861.4	857.9	858.4	859.0	861.2	869.4	872.2	874.0	875.0	876.0	877.0	878.0	879.0	880.0	881.0	882.0	859.1	869.9	876.7	880.6
Percent of Sales																				
Gross Margin	65.5%	65.0%	64.0%	63.5%	60.0%	60.3%	60.6%	64.0%	64.0%	64.0%	64.2%	64.5%	65.0%	65.0%	65.0%	65.0%	64.5%	61.2%	64.2%	65.0%
R&D	24.7%	23.2%	22.2%	24.8%	28.8%	27.6%	25.8%	25.0%	28.1%	26.6%	24.4%	22.7%	23.7%	22.6%	21.6%	21.1%	23.7%	26.7%	25.3%	22.2%
SG&A	5.4%	5.3%	5.2%	5.6%	5.9%	5.8%	5.0%	5.3%	5.8%	5.3%	4.7%	4.4%	4.6%	4.6%	4.6%	4.7%	5.3%	5.5%	5.0%	4.6%
Operating Margin	35.4%	36.5%	36.7%	33.1%	25.3%	26.9%	29.8%	33.7%	30.1%	32.1%	35.1%	37.4%	36.7%	37.8%	38.8%	39.2%	35.5%	29.0%	33.9%	38.2%
Taxes	6.0%	6.0%	6.0%	6.0%	7.0%	5.1%	6.0%	6.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	6.0%	6.0%	7.0%	7.0%
Net Income	31.0%	32.0%	32.0%	27.9%	20.0%	21.6%	25.0%	28.4%	24.6%	26.8%	29.9%	32.3%	31.7%	32.9%	34.0%	34.5%	30.8%	23.8%	28.6%	33.3%
Sequential Change																				
R&D	15.1%	(1.7%)	(3.0%)	2.9%	8.4%	(2.7%)	(1.2%)	(2.9%)	8.0%	0.8%	(0.5%)	0.3%	4.0%	1.2%	1.2%	1.2%	22.1%	5.0%	4.6%	6.1%
SG&A	(2.0%)	3.0%	(1.0%)	0.4%	(1.9%)	(0.4%)	(8.1%)	5.0%	5.9%	(3.8%)	(2.6%)	0.0%	4.0%	6.5%	6.1%	5.7%	11.1%	(4.5%)	0.9%	11.5%

Source: Company Reports, Barclays Research Estimates

Reconciliation of Pro Forma to GAAP																				
Stock Based Compensation	(131.1)	(144.5)	(146.1)	(130.7)	(143.2)	(152.8)	(158.5)	(166.1)	(166.6)	(167.1)	(167.6)	(168.1)	(168.6)	(169.1)	(169.6)	(170.1)	(552.4)	(620.6)	(669.2)	(677.2)
Amortization of acquired intangible	(272.5)	(271.8)	(269.9)	(273.2)	(270.0)	(271.8)	(269.8)	(288.4)	(283.4)	(278.4)	(273.4)	(268.4)	(263.4)	(258.4)	(253.4)	(248.4)	(1,087.4)	(1,100.0)	(1,103.7)	(1,023.7)
Restructuring	(1.3)	(1.2)	(15.6)	(3.5)	(59.9)	(42.0)	(3.4)	(15.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(21.6)	(120.3)	(40.0)	(40.0)
Other	(209.2)	(64.2)	(46.6)	(4.3)	40.0	(31.1)	(86.7)	26.2	26.2	26.2	26.2	26.2	26.2	26.2	26.2	26.2	(324.3)	(51.6)	104.9	104.9
Net Income - GAAP	**($165.7)**	**$4.3**	**$13.3**	**($15.4)**	**($168.9)**	**($207.5)**	**($164.3)**	**($39.8)**	**($97.8)**	**($40.8)**	**$46.2**	**$126.6**	**$120.4**	**$179.5**	**$238.9**	**$279.2**	**($163.5)**	**($580.5)**	**$34.1**	**$818.0**
GAAP Shares	848.0	857.9	858.4	854.1	856.7	860.9	862.6	864.4	865.4	866.4	867.4	868.4	869.4	870.4	871.4	872.4	847.5	860.4	878.2	871.2
EPS - GAAP	**($0.20)**	**$0.01**	**$0.02**	**($0.02)**	**($0.20)**	**($0.24)**	**($0.19)**	**($0.05)**	**($0.11)**	**($0.05)**	**$0.05**	**$0.15**	**$0.14**	**$0.21**	**$0.27**	**$0.32**	**($0.19)**	**($0.67)**	**$0.04**	**$0.94**

Source: Company Reports and Barclays Research estimates

FIGURE 6. ADI Income Statement

Analog Devices Inc.																					
Period Ending	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	2022	2023	2024	2025	2022	2023	2024	2025
$ in millions	1Q	2Q	3Q	4Q	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	FY	FY	FYE	FYE	CY	CYE	CYE	CYE
Revenues	$3,249.6	$3,262.9	$3,076.5	$2,716.5	$2,523.3	$2,387.4	$2,465.9	$2,621.9	$2,654.6	$2,751.7	$2,839.9	$2,932.4	$2,997.0	$12,014.0	$12,305.5	$9,998.5	$11,178.6	$12,579.3	$11,579.2	$10,129.8	$11,521.0
QoQ	0.1%	0.4%	(5.7%)	(11.7%)	(7.1%)	(5.4%)	3.3%	6.3%	1.2%	3.7%	3.2%	3.3%	2.2%								
YoY	21.1%	9.8%	(1.1%)	(16.4%)	(22.4%)	(26.8%)	(19.8%)	(3.5%)	5.2%	15.3%	15.2%	11.8%	12.9%	64.2%	2.4%	(18.7%)	11.8%	49.0%	(8.0%)	(12.5%)	13.7%
Cost of Goods	857.8	859.1	854.3	809.8	794.8	764.0	764.4	799.7	796.4	825.5	837.8	865.1	884.1	3,171.8	3,381.0	3,122.9	3,324.7	3,275.9	3,318.1	3,124.5	3,186.0
Gross Profit	$2,391.9	$2,403.9	$2,222.2	$1,906.6	$1,728.5	$1,623.4	$1,701.5	$1,822.2	$1,858.2	$1,926.2	$2,002.2	$2,067.3	$2,112.9	$8,842.2	$8,924.5	$6,875.6	$7,853.9	$9,303.4	$8,261.1	$7,005.4	$8,335.0
R&D	410.4	412.3	420.8	404.9	405.0	398.9	399.9	409.9	422.2	422.2	427.2	432.2	437.2	1,668.7	1,648.4	1,613.8	1,703.9	1,663.1	1,643.0	1,631.0	1,718.9
SG&A	322.5	320.8	331.2	287.2	277.0	272.8	287.8	297.8	306.8	306.8	308.8	310.8	312.8	1,234.3	1,261.7	1,135.5	1,233.1	1,270.4	1,216.2	1,165.3	1,239.1
Total Operating Expenses	732.9	733.1	752.0	692.1	682.0	671.8	687.8	707.8	729.0	729.0	736.0	743.0	750.0	2,903.0	2,910.1	2,749.3	2,937.0	2,933.5	2,859.2	2,796.3	2,958.0
Operating Income	$1,659.0	$1,670.8	$1,470.1	$1,214.5	$1,046.5	$951.7	$1,013.7	$1,114.4	$1,129.2	$1,197.2	$1,266.2	$1,324.3	$1,362.9	$5,939.2	$6,014.4	$4,126.3	$4,916.8	$6,369.9	$5,401.9	$4,209.0	$5,377.0
Interest Income (Exp)	(59.6)	(47.6)	(56.8)	(64.8)	(70.0)	(65.6)	(63.1)	(63.8)	(56.3)	(56.8)	(52.8)	(57.2)	(53.3)	(189.1)	(228.9)	(262.6)	(223.1)	(205.2)	(239.2)	(248.9)	(220.1)
Profit Before Taxes	1,599.3	1,623.2	1,413.3	1,149.7	976.5	886.0	950.6	1,050.6	1,072.9	1,140.4	1,213.3	1,267.1	1,309.5	5,750.1	5,785.6	3,863.7	4,693.8	6,164.7	5,162.7	3,960.2	5,156.8
Taxes	193.8	185.5	158.3	143.9	117.2	106.3	114.1	126.1	139.5	148.2	157.7	164.7	170.2	744.9	681.5	463.6	610.2	780.9	604.9	485.9	640.9
Net Income - Pro Forma (Incl ESO	$1,405.5	$1,437.7	$1,255.0	$1,005.9	$859.3	$779.7	$836.5	$924.5	$933.5	$992.1	$1,055.6	$1,102.4	$1,139.3	$5,005.1	$5,104.0	$3,400.0	$4,083.6	$5,383.8	$4,557.8	$3,474.2	$4,515.9
EPS - Pro Forma (incl ESO)	$2.75	$2.83	$2.49	$2.01	$1.72	$1.57	$1.69	$1.88	$1.90	$2.03	$2.17	$2.28	$2.36	$9.57	$10.08	$6.86	$8.38	$10.39	$9.05	$7.04	$8.84
EPS - Pro Forma (ex ESO)	$2.90	$2.96	$2.49	$2.01	$1.72	$1.57	$1.69	$1.88	$1.90	$2.03	$2.17	$2.28	$2.36	$10.19	$10.36	$6.86	$8.38	$10.99	$9.19	$7.04	$8.84
EPS - GAAP	$1.88	$1.92	$1.74	$1.00	$0.92	$0.76	$0.88	$1.06	$1.09	$1.21	$1.35	$1.45	$1.53	$5.27	$6.54	$3.64	$5.10	$6.62	$5.58	$3.80	$5.54
Dividend Per Share	$0.76	$0.86	$0.86	$0.86	$0.86	$0.91	$0.91	$0.91	$0.91	$0.97	$0.97	$0.97	$0.97	$2.97	$3.34	$3.59	$3.81	$3.04	$3.44	$3.65	$3.87
Fully Diluted Shares	511.2	508.7	503.5	500.4	498.4	496.4	494.4	492.4	490.4	488.4	486.4	484.4	482.4	523.2	506.4	495.3	487.3	518.1	503.5	493.3	510.9
Percent of Sales																					
Gross Margin	73.6%	73.7%	72.2%	70.2%	68.5%	68.0%	69.0%	69.5%	70.0%	70.0%	70.5%	70.5%	70.5%	73.6%	72.5%	68.8%	70.3%	74.0%	71.3%	69.2%	72.3%
R&D	12.6%	12.6%	13.7%	14.9%	16.1%	16.7%	16.2%	15.6%	15.9%	15.3%	15.0%	14.7%	14.6%	13.9%	13.4%	16.1%	15.2%	13.2%	14.2%	16.1%	14.9%
SG&A	9.9%	9.8%	10.8%	10.6%	11.0%	11.4%	11.7%	11.4%	11.6%	11.1%	10.9%	10.6%	10.4%	10.3%	10.3%	11.4%	11.0%	10.1%	10.5%	11.5%	10.8%
Operating Margin	51.1%	51.2%	47.8%	44.7%	41.5%	39.9%	41.1%	42.5%	42.5%	43.5%	44.6%	45.2%	45.5%	49.4%	48.9%	41.3%	44.0%	50.6%	46.7%	41.6%	46.7%
Taxes	12.1%	11.4%	11.2%	12.5%	12.0%	12.0%	12.0%	12.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	11.8%	12.0%	13.0%	12.7%	11.7%	12.3%	12.4%
Net Income	43.3%	44.1%	40.8%	37.0%	34.1%	32.7%	33.9%	35.3%	35.2%	36.1%	37.2%	37.6%	38.0%	41.7%	41.5%	34.0%	36.5%	42.8%	39.4%	34.3%	39.2%
Sequential Change																					
R&D	(0.9%)	0.5%	2.1%	(3.8%)	0.0%	(1.5%)	0.3%	2.5%	3.0%	0.0%	1.2%	1.2%	1.2%	35.5%	(1.2%)	(2.1%)	5.6%	21.5%	(1.2%)	(0.7%)	5.4%
SG&A	(2.2%)	(0.5%)	3.2%	(13.3%)	(3.6%)	(1.5%)	5.5%	3.5%	3.0%	0.0%	0.7%	0.6%	0.6%	45.0%	2.2%	(10.0%)	8.6%	32.2%	(4.3%)	(4.2%)	6.3%
Reconciliation of Pro Forma to GAAP																					
Stock Based Compensation	75.0	69.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	323.5	144.1	0.0	0.0	311.6	69.1	0.0	0.0
Acquisition related expenses	525.8	512.1	515.0	463.9	460.0	460.0	460.0	460.0	460.0	460.0	460.0	460.0	460.0	2,379.1	2,016.9	1,840.0	1,840.0	2,101.2	1,951.0	1,840.0	1,840.0
Other (restructuring)	0.0	23.1	23.5	114.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	272.2	160.7	0.0	0.0	214.8	160.7	0.0	0.0
Income tax effect	(81.8)	(75.2)	(160.5)	(70.5)	(61.0)	(59.8)	(59.8)	(59.8)	(59.8)	(59.8)	(59.8)	(59.8)	(59.8)	(394.8)	(388.1)	(240.4)	(239.2)	(362.2)	(367.3)	(239.2)	(239.2)
Net Income - GAAP	$961.5	$977.6	$877.0	$498.4	$460.3	$379.5	$436.3	$524.3	$533.3	$591.9	$655.4	$702.2	$739.1	$2,748.6	$3,314.6	$1,800.4	$2,482.8	$3,430.0	$2,813.4	$1,873.4	$2,688.6
GAAP Shares	511.2	508.7	503.5	500.4	498.4	496.4	494.4	492.4	490.4	488.4	486.4	484.4	482.4	521.5	506.8	495.3	487.2	518.1	503.5	493.3	510.9
EPS - GAAP	$1.88	$1.92	$1.74	$1.00	$0.92	$0.76	$0.88	$1.06	$1.09	$1.21	$1.35	$1.45	$1.53	$5.27	$6.54	$3.64	$5.10	$6.62	$5.58	$3.80	$5.54

Source: Company Reports and Barclays Research estimates

U.S. Semiconductors & Semiconductor Capital Equipment — NEUTRAL

Analog Devices (ADI)

EQUAL WEIGHT

Income statement ($mn)	2023A	2024E	2025E	2026E	CAGR
Revenue	12,306	9,999	11,179	N/A	N/A
EBITDA (adj)	6,349	4,457	5,246	N/A	N/A
EBIT (adj)	6,014	4,126	4,917	N/A	N/A
Pre-tax income (adj)	5,786	3,864	4,694	N/A	N/A
Net income (adj)	5,104	3,400	4,084	N/A	N/A
EPS (adj) ($)	10.08	6.86	8.38	N/A	N/A
Diluted shares (mn)	506.4	495.3	487.3	N/A	N/A
DPS ($)	3.34	3.59	3.81	N/A	N/A

Margin and return data	2023A	2024E	2025E	2026E	Average
EBITDA (adj) margin (%)	51.6	44.6	46.9	N/A	47.7
EBIT (adj) margin (%)	48.9	41.3	44.0	N/A	44.7
Pre-tax (adj) margin (%)	47.0	38.6	42.0	N/A	42.5
Net (adj) margin (%)	41.5	34.0	36.5	N/A	37.3
ROA (%)	6.8	3.8	5.3	N/A	5.3
ROE (%)	9.1	5.0	7.3	N/A	7.1

Balance sheet and cash flow ($mn)	2023A	2024E	2025E	2026E	CAGR
Tangible fixed assets	3,219	3,588	3,580	N/A	N/A
Intangible fixed assets	26,913	26,913	26,913	N/A	N/A
Cash and equivalents	958	771	1,370	N/A	N/A
Total assets	48,794	46,905	47,217	N/A	N/A
Short and long-term debt	6,402	6,017	5,617	N/A	N/A
Other long-term liabilities	581	581	581	N/A	N/A
Total liabilities	13,129	12,736	12,522	N/A	N/A
Net debt/(funds)	5,443	5,246	4,247	N/A	N/A
Shareholders' equity	35,665	34,169	34,696	N/A	N/A
Change in working capital	-1,212	89	N/A	N/A	N/A
Cash flow from operations	4,818	4,194	4,656	N/A	N/A
Capital expenditure	1,261	700	800	N/A	N/A
Free cash flow	3,556	3,494	3,856	N/A	N/A

Valuation and leverage metrics	2023A	2024E	2025E	2026E	Average
P/E (adj) (x)	18.6	27.3	22.4	N/A	22.8
EV/sales (x)	8.1	9.9	8.8	N/A	8.9
EV/EBITDA (adj) (x)	15.6	22.2	18.7	N/A	18.9
Equity FCF yield (%)	3.7	3.8	4.2	N/A	3.9
P/Sales (x)	7.6	9.4	8.4	N/A	8.5
P/BV (x)	2.7	2.7	2.6	N/A	2.7
Dividend yield (%)	1.8	1.9	2.0	N/A	1.9
Net debt/EBITDA (adj) (x)	0.9	1.2	5.3	N/A	2.4

Note: FY End Oct
Source: Company data, Bloomberg, Barclays Research

Price (15-Feb-2024)	**USD 187.54**
Price Target	**USD 185.00**

Why EQUAL WEIGHT?

ADI is a market performer with 5G largely behind us and slowing Industrial trends post pandemic boost, but we think the Analog group looks most fairly valued into CY25.

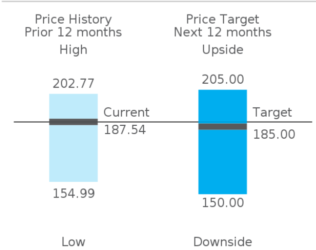
Upside case **USD 205.00**

Our upside case of $205 is based upon 22x our upside CY25E EPS of $9.50, which assumes faster EV adoption, sustained Industrial growth, and faster margin expansion.

Downside case **USD 150.00**

Our downside case of $150 is based upon 20x our downside CY25E EPS of $7.50, which assumes larger ASPs/margin correction, deeper inventory corrections.

Upside/Downside scenarios



U.S. Semiconductors & Semiconductor Capital Equipment NEUTRAL

Marvell Technology Group, Ltd. (MRVL) OVERWEIGHT

Income statement ($mn)	2023A	2024E	2025E	2026E	CAGR
Revenue	5,920	5,502	6,086	7,358	7.5%
EBITDA (adj)	419	251	988	1,808	62.9%
EBIT (adj)	2,099	1,595	2,062	2,810	10.2%
Pre-tax income (adj)	1,939	1,396	1,873	2,639	10.8%
Net income (adj)	1,822	1,312	1,742	2,454	10.4%
EPS (adj) ($)	2.12	1.51	1.99	2.79	9.5%
Diluted shares (mn)	859	870	877	881	0.8%
DPS ($)	0.24	0.24	0.24	0.24	0.0%
Margin and return data	**2023A**	**2024E**	**2025E**	**2026E**	**Average**
EBITDA (adj) margin (%)	7.1	4.6	16.2	24.6	13.1
EBIT (adj) margin (%)	35.5	29.0	33.9	38.2	34.1
Pre-tax (adj) margin (%)	32.7	25.4	30.8	35.9	31.2
Net (adj) margin (%)	30.8	23.8	28.6	33.3	29.2
ROA (%)	-0.7	-2.6	0.2	3.7	0.1
ROE (%)	-1.0	-3.7	0.2	5.4	0.2
Balance sheet and cash flow ($mn)	**2023A**	**2024E**	**2025E**	**2026E**	**CAGR**
Tangible fixed assets	577	608	569	484	-5.7%
Intangible fixed assets	11,587	11,587	11,587	11,587	0.0%
Cash and equivalents	911	1,138	2,401	4,289	67.6%
Total assets	22,522	21,659	21,917	22,838	0.5%
Short and long-term debt	3,908	4,090	4,090	4,090	1.5%
Other long-term liabilities	591	512	512	512	-4.7%
Total liabilities	6,885	6,514	6,857	7,201	1.5%
Net debt/(funds)	2,997	2,952	1,689	-200	N/A
Shareholders' equity	15,637	15,145	15,060	15,636	0.0%
Change in working capital	-211	493	1,057	1,685	N/A
Cash flow from operations	1,289	1,504	2,353	3,060	33.4%
Capital expenditure	-206	-330	-280	-360	N/A
Free cash flow	1,083	1,173	2,073	2,700	35.6%
Valuation and leverage metrics	**2023A**	**2024E**	**2025E**	**2026E**	**Average**
P/E (adj) (x)	31.8	44.7	33.9	24.2	33.6
EV/sales (x)	10.4	11.2	9.9	8.0	9.9
EV/EBITDA (adj) (x)	147.7	246.0	61.2	32.4	121.8
Equity FCF yield (%)	1.9	2.0	3.5	4.5	3.0
P/Sales (x)	9.9	10.7	9.7	8.0	9.6
P/BV (x)	3.7	3.9	3.9	3.8	3.8
Dividend yield (%)	0.4	0.4	0.4	0.4	0.4

Note: FY End Jan
Source: Company data, Bloomberg, Barclays Research

Price (15-Feb-2024) **USD 67.44**
Price Target **USD 75.00**

Why OVERWEIGHT?

We are OW as the company has multiple secular growth drivers across AI related to networking and ASICs and the core business has largely reset.

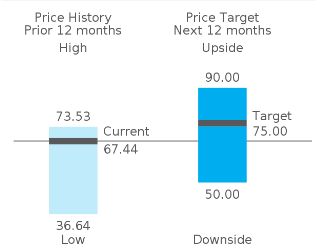
Upside case **USD 90.00**

Our upside case of $90 is based upon 28x our upside CY25 EPS of $3.25, which assumes higher growth in optical from AI deployments, and faster ASIC gains at DC customers.

Downside case **USD 50.00**

Our downside case of $50 is based upon 23x our downside CY25 EPS of $2.20, which assumes a slower ramp/lower than expected share in Data Center AI networking, slower wins in the AI ASIC business, slower recovery in the core business and a lack of margin expansion.

Upside/Downside scenarios



U.S. Semiconductors & Semiconductor Capital Equipment NEUTRAL

NVIDIA Corp. (NVDA)

OVERWEIGHT

Income statement ($mn)	2023A	2024E	2025E	2026E	CAGR
Revenue	26,974	60,111	102,596	119,034	64.0%
EBITDA (adj)	10,584	37,817	68,926	77,948	94.6%
EBIT (adj)	9,040	36,324	67,438	76,460	103.7%
Pre-tax income (adj)	9,046	36,903	68,488	77,910	105.0%
Net income (adj)	8,365	31,491	58,214	66,224	99.3%
EPS (adj) ($)	3.33	12.62	23.34	26.55	99.8%
Diluted shares (mn)	2,507	2,494	2,494	2,494	-0.2%
DPS ($)	0.16	0.16	0.16	0.16	0.0%
Margin and return data	**2023A**	**2024E**	**2025E**	**2026E**	**Average**
EBITDA (adj) margin (%)	39.2	62.9	67.2	65.5	58.7
EBIT (adj) margin (%)	33.5	60.4	65.7	64.2	56.0
Pre-tax (adj) margin (%)	33.5	61.4	66.8	65.5	56.8
Net (adj) margin (%)	31.0	52.4	56.7	55.6	48.9
ROA (%)	18.9	76.5	94.0	65.0	63.6
ROE (%)	31.4	142.5	143.4	83.0	100.1
Balance sheet and cash flow ($mn)	**2023A**	**2024E**	**2025E**	**2026E**	**CAGR**
Tangible fixed assets	3,807	3,772	3,884	4,196	3.3%
Intangible fixed assets	4,372	4,430	4,430	4,430	0.4%
Cash and equivalents	13,296	23,237	58,384	104,621	98.9%
Total assets	41,182	61,919	101,927	149,705	53.8%
Short and long-term debt	10,953	9,706	9,706	9,706	-3.9%
Other long-term liabilities	1,913	2,234	2,234	2,234	5.3%
Total liabilities	19,081	21,335	22,103	22,616	5.8%
Net debt/(funds)	-2,343	-13,531	-48,678	-94,915	N/A
Shareholders' equity	22,101	40,585	79,825	127,089	79.2%
Change in working capital	-7,984	14,612	39,860	N/A	N/A
Cash flow from operations	5,642	25,948	53,145	64,437	125.2%
Capital expenditure	-1,833	-1,115	-1,600	-1,800	N/A
Free cash flow	3,809	24,833	51,545	62,637	154.3%
Valuation and leverage metrics	**2023A**	**2024E**	**2025E**	**2026E**	**Average**
P/E (adj) (x)	N/A	57.6	31.1	27.4	38.7
EV/sales (x)	67.1	29.9	17.2	14.4	32.2
EV/EBITDA (adj) (x)	171.0	47.6	25.6	22.0	66.5
Equity FCF yield (%)	0.2	1.4	2.8	3.5	2.0
P/Sales (x)	67.2	30.1	17.7	15.2	32.6
P/BV (x)	82.4	44.7	22.7	14.3	41.0
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0

Note: FY End Jan
Source: Company data, Bloomberg, Barclays Research

Price (15-Feb-2024)	**USD 726.58**
Price Target	**USD 850.00**

Why OVERWEIGHT?

We are OW as the company has long-term sustainable growth led by a large lead in GPUs for AI in DC, with further Edge opportunities (Autos, robots, etc.) and a competitive moat around a large portion of the market.

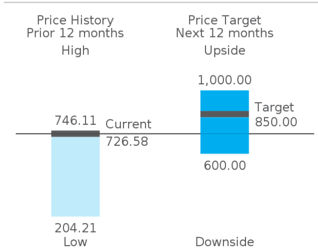
Upside case **USD 1,000.00**

Our upside case of $1000 is based upon 37x our upside CY25E non-GAAP EPS of $27.00, which assumes larger TAM for AI in the DC, higher Networking attach, and higher GMs.

Downside case **USD 600.00**

Our downside case of $600 is based upon 29x our downside CY25E non-GAAP EPS of $21.00, which assumes a correction of AI spending in the DC, a slower Auto ramp and pricing/ share pressure.

Upside/Downside scenarios



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Primary Stocks (Ticker, Date, Price)
Analog Devices (ADI, 15-Feb-2024, USD 187.54), Equal Weight/Neutral, CD/CE/E/J/K/L/M

Marvell Technology Group, Ltd. (MRVL, 15-Feb-2024, USD 67.44), Overweight/Neutral, A/CD/CE/D/J/L

NVIDIA Corp. (NVDA, 15-Feb-2024, USD 726.58), Overweight/Neutral, CD/CE/J/K/M

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U.S. Semiconductors & Semiconductor Capital Equipment

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Camtek (CAMT)	Cirrus Logic Inc. (CRUS)	Coherent Corp. (COHR)
Credo Technology Group (CRDO)	Intel Corp. (INTC)	KLA Corporation (KLAC)

Lam Research Corporation (LRCX)	Lumentum Holdings Inc. (LITE)	MACOM Technology Solutions Holdings, Inc. (MTSI)
Marvell Technology Group, Ltd. (MRVL)	Micron Technology, Inc. (MU)	NVIDIA Corp. (NVDA)
NXP Semiconductors NV (NXPI)	Ouster, Inc (OUST)	Qorvo Inc. (QRVO)
QUALCOMM, Inc. (QCOM)	Seagate Technology plc (STX)	SGH (SGH)
Silicon Laboratories, Inc. (SLAB)	SiTime Corporation (SITM)	Skyworks Solutions, Inc. (SWKS)
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Analog Devices (ADI / ADI)

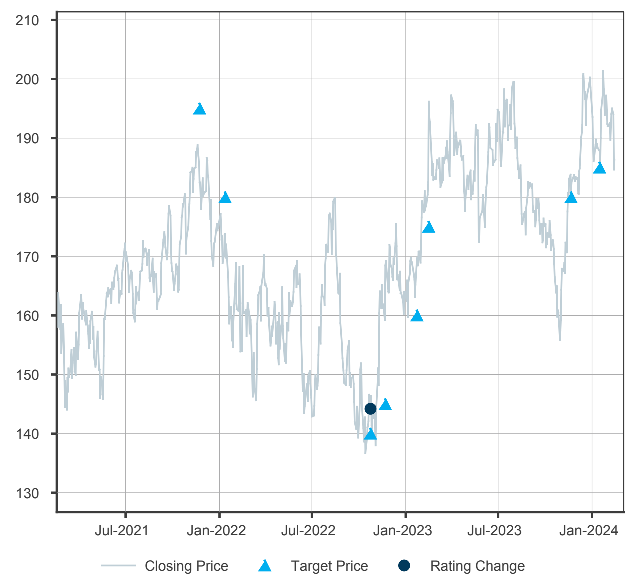
Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 187.54** (15-Feb-2024)

Rating and Price Target Chart - USD (as of 15-Feb-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
16-Jan-2024	188.36		185.00
21-Nov-2023	183.82		180.00
15-Feb-2023	196.18		175.00
23-Jan-2023	165.17		160.00
22-Nov-2022	159.24		145.00
24-Oct-2022	146.59	Equal Weight	140.00
12-Jan-2022	170.40		180.00
23-Nov-2021	185.50		195.00

On 15-Feb-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 170.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target of $185 is based on 21x our CY25E EPS of $8.84.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the downside include larger ASPs/margin corrections and deeper inventory revisions. Risks to the upside include faster-than-expected EV adoption, sustained Industrial growth, and core OPM expansion.

Marvell Technology Group, Ltd. (MRVL / MRVL)

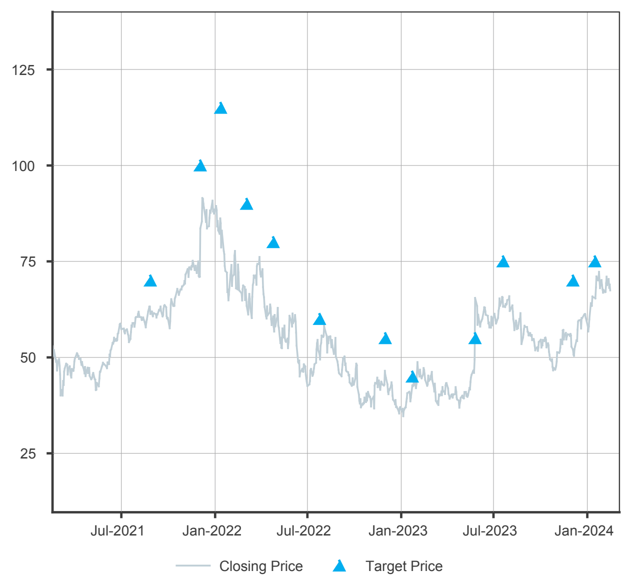
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 67.44** (15-Feb-2024)

Rating and Price Target Chart - USD (as of 15-Feb-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
16-Jan-2024	65.68		75.00
04-Dec-2023	52.80		70.00
20-Jul-2023	65.63		75.00
26-May-2023	49.47		55.00
23-Jan-2023	39.48		45.00
01-Dec-2022	45.40		55.00
25-Jul-2022	52.02		60.00
25-Apr-2022	58.44		80.00
04-Mar-2022	65.20		90.00
12-Jan-2022	82.21		115.00
03-Dec-2021	71.03		100.00
27-Aug-2021	61.34		70.00

On 15-Feb-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 60.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target of $75 is based upon 27x our CY25 EPS of $2.79.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our thesis include a slower ramp/lower than expected share in Data Center AI networking, slower wins in the AI ASIC business, slower recovery in the core business and a lack of margin expansion.

NVIDIA Corp. (NVDA / NVDA)

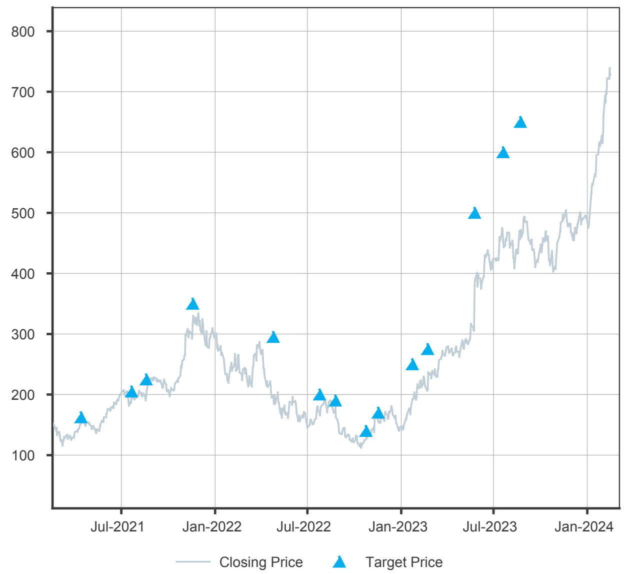
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 726.58** (15-Feb-2024)

Rating and Price Target Chart - USD (as of 15-Feb-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
23-Aug-2023	471.16		650.00
20-Jul-2023	470.77		600.00
25-May-2023	305.38		500.00
22-Feb-2023	207.54		275.00
23-Jan-2023	178.39		250.00
17-Nov-2022	159.10		170.00
24-Oct-2022	124.66		140.00
25-Aug-2022	172.22		190.00
25-Jul-2022	173.19		200.00
25-Apr-2022	195.15		295.00
18-Nov-2021	292.61		350.00
19-Aug-2021	197.98		225.00
21-Jul-2021	194.10		205.00
13-Apr-2021	156.80		162.50

On 15-Feb-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 150.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target of $850 is based upon 32x our CY25E non-GAAP EPS of $26.55.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to the downside include a slower ramp in GPUs for AI in the DC, slower recovery in the gaming market, a slower Auto ramp and slower GM improvement.

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